

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended **30 September 2025**

2. Commission Identification No. **10683**

3. BIR Tax Identification No. **000-141-166-000**

SUNTRUST RESORT HOLDINGS, INC.

4. Exact name of issuer as specified in its charter

Metro Manila, Philippines

5. Province, country, or other jurisdiction of incorporation or organization

6. Industry Classification Code: (SEC Use Only)

**26th Floor Alliance Global Tower, 36th Street corner 11th Avenue, Uptown Bonifacio, Taguig
City 1634**

7. Address of Issuer's principal office and postal code

02 8894 6300

8. Issuer's telephone number, including area code

Not Applicable

9. Former name, former address, and former fiscal year, if changed since last report

10. Securities registered pursuant to Sections 8 and 12 of the SRC or Sections 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common	7,250,000,000

11. Are any or all of the securities listed on a stock exchange?

Yes [☒] No [☐]

If yes, state the name of such stock exchange and the class/es of securities listed therein:

The common shares of the Issuer are listed on the Philippine Stock Exchange.

12. Indicate by checkmark whether the registrant:

- a. Has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17 thereunder or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder and Sections 26 and 141 of the

Corporation Code of the Philippines during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports):

Yes [☒] No [☐]

- b. Has been subject to such filing requirements for the past ninety (90) days:

Yes [☒] No [☐]

PART I – FINANCIAL INFORMATION

Item 1. Financial Statements

Attached hereto are the following:

- Interim Condensed Consolidated Statements of Financial Position (**Exhibit 1**)
- Interim Condensed Consolidated Statements of Income (**Exhibit 2**)
- Interim Condensed Consolidated Statements of Comprehensive Income (**Exhibit 3**)
- Interim Condensed Consolidated Statements of Changes in Equity (**Exhibit 4**)
- Interim Condensed Consolidated Statements of Cash Flows (**Exhibit 5**)
- Notes to Interim Condensed Consolidated Financial Statements (**Exhibit 6**)

Item 2. Management's Discussion and Analysis of Results of Operations and Financial Conditions

Please see **Exhibit 7**

Item 3. Aging of Accounts Receivable

Please see **Exhibit 8**

Item 4. Schedule of Financial Soundness Indicators

Please see **Exhibit 9**

PART II – OTHER INFORMATION

The Issuer is not in possession of any information which may, at its option, be reported under this item and which would otherwise be required to be filed in a report on SEC Form 17-C.

[Signature page follows]

SIGNATURE

Pursuant to the requirements of the SRC, the Issuer has duly caused this Report to be signed on its behalf by the undersigned thereunto duly authorized.

SUNTRUST RESORT HOLDINGS, INC.

By:



NEOLI MAE L. KHO
Treasurer

Date: **28 November 2025**

EXHIBIT 1

SUNTRUST RESORT HOLDINGS, INC. AND SUBSIDIARIES
(Formerly Suntrust Home Developers, Inc. and Subsidiaries)
(A Subsidiary of Fortune Noble Limited)
INTERIM CONDENSED CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
SEPTEMBER 30, 2025 AND DECEMBER 31, 2024
(Amounts in Philippine Pesos)

	Notes	Unaudited September 30, 2025	Audited December 31, 2024
<u>ASSETS</u>			
CURRENT ASSETS			
Cash and cash equivalents	5	P 1,382,498,920	P 3,420,876,839
Prepayments and other current assets	6	<u>3,822,353,019</u>	<u>2,964,297,689</u>
Total Current Assets		<u>5,204,851,939</u>	<u>6,385,174,528</u>
NON-CURRENT ASSETS			
Investment in associate		3,200,000,000	-
Prepayments and deposits for property and equipment	6	11,436,031	1,703,019,407
Property and equipment - net	7	8,877,454	35,677,717,512
Right-of-use assets - net	8	<u>2,688,037</u>	<u>10,445,524,298</u>
Total Non-current Assets		<u>3,223,001,522</u>	<u>47,826,261,217</u>
TOTAL ASSETS		<u>P 8,427,853,461</u>	<u>P 54,211,435,745</u>
<u>LIABILITIES AND EQUITY</u>			
CURRENT LIABILITIES			
Trade and other payables	9	P 563,809,267	P 1,799,497,123
Lease liabilities	8	<u>1,434,006</u>	<u>67,501,181</u>
Total Current Liabilities		<u>565,243,273</u>	<u>1,866,998,304</u>
NON-CURRENT LIABILITIES			
Convertible bonds payable	11, 14	18,988,402,439	17,867,739,622
Loans from related parties	14	5,067,668,251	4,955,241,979
Due to related parties	14	2,727,281,252	2,337,258,498
Bank borrowings	10	-	10,576,547,188
Lease liabilities	8	-	6,577,561,779
Retention payable	9	<u>-</u>	<u>1,472,127,097</u>
Total Non-current Liabilities		<u>26,783,351,942</u>	<u>43,786,476,163</u>
Total Liabilities		<u>27,348,595,215</u>	<u>45,653,474,467</u>
EQUITY			
Capital stock	16	7,250,000,000	7,250,000,000
Convertible bonds equity reserve	11	5,752,006,144	5,752,006,144
Exchange reserve		136,537,823	185,220,510
Deficit	16	(<u>32,059,285,721</u>)	(<u>4,629,265,376</u>)
Total Equity		(<u>18,920,741,754</u>)	<u>8,557,961,278</u>
TOTAL LIABILITIES AND EQUITY		<u>P 8,427,853,461</u>	<u>P 54,211,435,745</u>

See Notes to Interim Condensed Consolidated Financial Statements.

SUNTRUST RESORT HOLDINGS, INC. AND SUBSIDIARIES
(Formerly Suntrust Home Developers, Inc. and Subsidiaries)
(A Subsidiary of Fortune Noble Limited)
INTERIM CONDENSED CONSOLIDATED STATEMENTS OF INCOME
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(UNAUDITED)
(Amounts in Philippine Pesos)

		2025 Jul 1 - Sep 30 (3 months)	2025 Jan 1 - Sep 30 (9 months)	2024 Jul 1 - Sep 30 (3 months)	2024 Jan 1 - Sep 30 (9 months)
	<u>Notes</u>				
REVENUES AND INCOME					
Foreign exchange gain - net	12	P -	P 14,950,609	P 523,966,674	P 49,548,653
Finance and other income	5	<u>2,926</u>	<u>8,839</u>	<u>3,156</u>	<u>9,503</u>
		<u>2,926</u>	<u>14,959,448</u>	<u>523,969,830</u>	<u>49,558,156</u>
COSTS AND EXPENSES					
Operating expenses	12	218,323,763	609,553,585	178,496,810	493,254,168
Tax expense	13	1,348,400	5,846,949	9,981,496	31,542,016
Finance costs	12	567,828	2,649,691	1,436,573	2,320,090
Foreign exchange loss - net		254,690,495	-	-	-
Loss on assignment and termination		<u>26,826,929,568</u>	<u>26,826,929,568</u>	<u>-</u>	<u>-</u>
		<u>27,301,860,054</u>	<u>27,444,979,793</u>	<u>189,914,879</u>	<u>527,116,274</u>
NET INCOME (LOSS)		(P 27,301,857,128)	(P 27,430,020,345)	P 334,054,951	(P 477,558,118)
Loss Per Share -	15				
Basic and Diluted		(P 3.7658)	(P 3.7835)	P 0.0461	(P 0.0659)

See Notes to Interim Condensed Consolidated Financial Statements.

SUNTRUST RESORT HOLDINGS, INC. AND SUBSIDIARIES
(Formerly Suntrust Home Developers, Inc. and Subsidiaries)
(A Subsidiary of Fortune Noble Limited)
INTERIM CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(UNAUDITED)
(Amounts in Philippine Pesos)

	2025 Jul 1 - Sep 30 (3 months)	2025 Jan 1 - Sep 30 (9 months)	2024 Jul 1 - Sep 30 (3 months)	2024 Jan 1 - Sep 30 (9 months)
NET LOSS	(P 27,301,857,128)	(P 27,430,020,345)	P 334,054,951	o (P 477,558,118)
OTHER COMPREHENSIVE INCOME (LOSS)				
Item that will be reclassified subsequently to profit or loss				
Exchange difference on translating foreign operations	<u>17,939,887</u>	(<u>48,682,687</u>)	(<u>114,501,580</u>)	<u>32,578,179</u>
TOTAL COMPREHENSIVE INCOME (LOSS)	(<u>P 27,283,917,241</u>)	(<u>P 27,478,703,032</u>)	<u>P 219,553,371</u>	(<u>P 444,979,939</u>)

See Notes to Interim Condensed Consolidated Financial Statements.

SUNTRUST RESORT HOLDINGS, INC. AND SUBSIDIARIES
(Formerly Suntrust Home Developers, Inc. and Subsidiaries)
(A Subsidiary of Fortune Noble Limited)
INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(UNAUDITED)
(Amounts in Philippine Pesos)

	Capital Stock (see Note 16)	Convertible Bonds Equity Reserve (see Note 11)	Exchange Reserve	Deficit	Total Equity
Balance at January 1, 2025	P 7,250,000,000	P 5,752,006,144	P 185,220,510	(P 4,629,265,376)	P 8,557,961,278
Total comprehensive loss for the period	-	-	(48,682,687)	(27,430,020,345)	(27,478,703,032)
Balance at September 30, 2025 (Unaudited)	<u>P 7,250,000,000</u>	<u>P 5,752,006,144</u>	<u>P 136,537,823</u>	<u>(P 32,059,285,721)</u>	<u>(P 18,920,741,754)</u>
Balance at January 1, 2024	P 7,250,000,000	P 5,752,006,144	P 81,923,401	(P 3,542,619,192)	P 9,541,310,353
Total comprehensive loss for the period	-	-	32,578,179	(477,558,118)	(444,979,939)
Balance at September 30, 2024 (Unaudited)	<u>P 7,250,000,000</u>	<u>P 5,752,006,144</u>	<u>P 114,501,580</u>	<u>(P 4,020,177,310)</u>	<u>P 9,096,330,414</u>

See Notes to Interim Condensed Consolidated Financial Statements.

SUNTRUST RESORT HOLDINGS, INC. AND SUBSIDIARIES
(Formerly Suntrust Home Developers, Inc. and Subsidiaries)
(A Subsidiary of Fortune Noble Limited)
INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(UNAUDITED)
(Amounts in Philippine Pesos)

	Notes	Unaudited September 30, 2025	Unaudited September 30, 2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Loss before tax		(P 27,424,173,396)	(P 446,016,102)
Adjustments for:			
Loss on assignment		26,822,604,199	-
Depreciation and amortization	12	76,684,466	21,350,673
Unrealized foreign exchange (gain) loss - net	12	(30,347,640)	10,682,773
Finance and other income	5	(25,386,408)	(9,503)
Loss on lease termination		4,325,369	-
Interest expense	12	2,649,691	2,320,090
Operating loss before working capital changes		(573,643,719)	(411,672,069)
Decrease (increase) in other current assets		656,915,333	(1,330,777,281)
Decrease in trade and other payables		(606,095,242)	(591,811,576)
Increase in due to related parties		38,380,518	146,991,735
Cash used in operations		(484,443,111)	(2,187,269,191)
Interest received	7	25,386,408	166,226,898
Cash paid for taxes		(5,846,949)	(31,542,016)
Net Cash Used in Operating Activities		(464,903,652)	(2,052,584,309)
CASH FLOWS FROM INVESTING ACTIVITIES			
Proceeds from assignment of property and equipment	7	15,339,920,000	-
Investment in associate		(3,200,000,000)	-
Acquisition of property and equipment	7	(150,044,031)	(2,352,657,598)
Additions to prepayments and deposits for property and equipment	6	(362,093,476)	(318,752,348)
Net Cash Used in Investing Activities		11,627,782,493	(2,671,409,946)
CASH FLOWS FROM FINANCING ACTIVITIES			
Payment of bank loan		(11,000,000,000)	-
Payment of loan from related parties	14	(1,540,352,309)	-
Payment of interest and financing costs	10, 14	(527,075,418)	(682,696,041)
Payment of accrued interest		(72,975,264)	-
Payments of lease liabilities	8	(21,553,964)	(19,054,343)
Net Proceeds from loan from related parties	14	-	3,180,363,320
Proceeds from bank borrowings	10	-	2,260,000,000
Net Cash Used in Financing Activities		(13,161,956,955)	4,738,612,936
NET DECREASE IN CASH AND CASH EQUIVALENTS		(1,999,078,114)	14,618,681
EFFECTS ON FOREIGN EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS		(39,299,805)	(32,268,004)
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD		3,420,876,839	6,021,360,034
CASH AND CASH EQUIVALENTS AT END OF PERIOD		P 1,382,498,920	P 6,003,710,711

Supplemental Information in Non-cash Operating, Financing and Investing Activities is disclosed in Note 23 to the Interim Condensed Consolidated Financial Statements.

See Notes to Interim Condensed Consolidated Financial Statements.

SUNTRUST RESORT HOLDINGS, INC. AND SUBSIDIARIES
(A Subsidiary of Fortune Noble Limited)
NOTES TO INTERIM CONDENSED CONSOLIDATED
FINANCIAL STATEMENTS
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(UNAUDITED)
(Amounts in Philippine Pesos)

1. CORPORATE INFORMATION

1.1 Company Background

Suntrust Resort Holdings, Inc., (the Parent Company, the Company or Suntrust) was incorporated in the Philippines on January 18, 1956. The Parent Company is a publicly listed entity in the Philippines. On October 25, 2019 and December 17, 2019, respectively, the Board of Directors (BOD) and stockholders approved the amendment of the Parent Company's primary and secondary purposes, as presented in the Articles of Incorporation, to allow the Parent Company to focus on tourism-related businesses. This change was subsequently approved by the Philippine Securities and Exchange Commission (SEC) on September 17, 2020. Further amendments were made in 2019 to increase the authorized capital stock (see Note 1.3).

Megaworld Corporation (Megaworld), also a publicly listed company in the Philippines, used to be the Parent Company's major stockholder with 42% direct ownership interest in the Parent Company until the acquisition by Fortune Noble Limited (Fortune Noble) in 2019 of an aggregate of 1,147,500,000 shares of the Parent Company representing 51% interest over the latter. Accordingly, Fortune Noble became the parent company of Suntrust and its subsidiaries (the Group). Fortune Noble is incorporated in the British Virgin Islands (the "BVI") and is a subsidiary of LET Group Holdings Limited (the intermediate parent company or LET Group). Major Success Group Limited (Major Success), a company incorporated in the BVI, is the parent company of LET Group.

The principal activity of Major Success is investment holding. LET Group and its subsidiaries are principally engaged in (i) through Suntrust and its subsidiaries, investment in the Main Hotel Casino; (ii) through Summit Ascent Holdings Limited (SA Holdings) and its subsidiaries, the operation of the hotel and gaming business in the Integrated Entertainment Zone of the Primorye Region in the Russian Federation; and (iii) property development in Japan.

The Parent Company's principal office is at the 26th Floor, Alliance Global Tower, 36th Street corner 11th Avenue, Uptown Bonifacio, Taguig City.

The registered office and principal place of business of Fortune Noble is at 160 Main Street, 2nd Floor, Wattley Building, P.O. Box 3410, Road Town, Tortola VG1110, British Virgin Islands. LET Group's registered office is located at Citrus Grove, Ground Floor, 106 Goring Avenue, George Town, Grand Cayman, Cayman Islands and its principal place of business is at Unit 3701, 37/F, West Tower, Shun Tak Centre, 168-200 Connaught Road Central, Hong Kong. Major Success' registered office and principal place of business is located at OMC Chambers, Wickhams Cay 1, Road Town, Tortola, VG1110, British Virgin Islands.

1.2 Subsidiaries

Suntrust holds ownership interests in the following subsidiaries:

	<u>Explanatory Notes</u>	<u>Percentage of Ownership</u>
Subsidiaries:		
SWC Project Management Limited (SWCPML)	(a)	100.00%
WC Project Management Limited (WCPML)	(b)	100.00%
Suntrust WC Hotel Inc. (WC Hotel)	(c)	100.00%
Westside Bayshore Holding Corporation (WBHC)	(d)	40.00%

Explanatory Notes:

- (a) Incorporated in Hong Kong on January 20, 2020 to engage in provision of project management services.
- (b) Incorporated in Macau on February 17, 2020 to engage in provision of project management services.
- (c) Incorporated in the Philippines on January 4, 2021 to engage in the business of establishing, constructing, operating, managing, and/or maintaining hotels, health and wellness shops, cinema, car parks, entertainment centers, amusement centers and other tourism-related facilities and all its incidental and allied facilities and services, and to own (other than land), hold, lease or sublease any real and personal property, which may be necessary or convenient for the conduct of its businesses. On January 13, 2025, the Company received from the SEC the Certificate of Filing of Amended Articles of Incorporation dated November 26, 2024 on the approval of the change of the Company's name from "Suncity WC Hotel, Inc." to "Suntrust WC Hotel, Inc."
- (d) Incorporated in the Philippines on May 26, 2025 to subscribe for, hold, assign, or otherwise dispose of property, including shares of stock, notes, and other securities of any corporation, to receive and dispose of the interest, dividend and income arising from such property, and to exercise in respect thereof all the rights, powers and privileges of ownership, including voting powers, and to aid, in any other manner, any corporation, any share of stock or other security of which are held by this corporation or in which it shall have interest, and to do any act designed to protect, preserve, improve or enhance the value of the property at any time held or controlled by this corporation.

1.3 Amendments to the Parent Company's Articles of Incorporation and By-Laws

On September 25, 2023, and October 31, 2023, the BOD and Shareholders, respectively, approved the (a) increase of authorized capital stock from Php23,000,000,000 divided into 23,000,000,000 common shares at Php1.00 per share to Php28,000,000,000 divided into 28,000,000,000 common shares at Php1.00 per share and (b) amendment of the Company's secondary purposes to include retail activities. As at the date of issuance of interim condensed consolidated financial statements, the foregoing amendments are pending filing with and approval by the SEC.

2. MATERIAL ACCOUNTING POLICY INFORMATION

The material accounting policy information that has been used in the preparation of these interim condensed consolidated financial statements are summarized below and in the succeeding pages. The policies have been consistently applied to all years presented, unless otherwise stated.

2.1 Basis of Preparation of Interim Condensed Consolidated Financial Statements

These interim condensed consolidated financial statements as at and for the six months ended September 30, 2025, and 2024 have been prepared in accordance with Philippine Accounting Standard (PAS) 34, *Interim Financial Reporting*. They do not include all the information and disclosures required in the annual consolidated financial statements and should be read in conjunction with the audited consolidated financial statements of the Group as at and for the year ended December 31, 2024.

The preparation of interim condensed consolidated financial statements in accordance with Philippine Financial Reporting Standards (PFRS Accounting Standards) requires management to make judgments, estimates, and assumptions that affect the application of policies and reported amounts of assets and liabilities, income, and expenses. Although these estimates are based on management's best knowledge of current events and actions, actual results may ultimately differ from those estimates.

These interim condensed consolidated financial statements are presented in Philippine peso, the functional and presentation currency of the Group and all values represent absolute amounts except when otherwise indicated.

2.2 Adoption of New and Amended PFRS Accounting Standards

A number of new or amended standards became applicable for the current reporting period. However, the Group did not have to change its accounting policies or make retrospective adjustments as a result of adopting these standards. The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

3. SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

In preparing the interim condensed consolidated financial statements, management undertakes a number of judgments, estimates and assumptions about recognition and measurement of assets, liabilities, income and expenses. The actual results may differ from the judgments, estimates, and assumptions made by management, and will seldom equal the estimated results.

The judgments, estimates, and assumptions applied in the interim condensed consolidated financial statements, including the key sources of estimation uncertainty, were the same as those applied in the Group's last annual consolidated financial statements as of and for the year ended December 31, 2024.

4. SEGMENT REPORTING

The Group's only business segment is tourism-related-business through indirect investment in the Main Hotel Casino. This is also the basis of the Group in reporting to its BOD for its strategic decision-making activities.

5. CASH AND CASH EQUIVALENTS

The composition of this account is as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cash on hand	P 250,000	P 100,000
Cash in bank	217,471,630	498,680,658
Short-term placements	1,164,777,290	2,922,096,181
	<u>P 1,382,498,920</u>	<u>P 3,420,876,839</u>

Cash pertains to cash in banks which generally, earn interest based on daily bank deposit rates.

As part of its obligations under the Omnibus Loan and Security Agreement with China Banking Corporation (China Bank), the Company maintains an interest-bearing, U.S. Dollar (US\$) Construction Reserve Account (CRA) amounting to US\$20.0 million intended to hold funds to cover cost overruns that may arise in relation to the construction of the Main Hotel Casino. CRA funds are classified as unrestricted cash and included as part of Cash and Cash Equivalents in the interim condensed consolidated statements of financial position. Additionally, any interest earned from funds deposited in the CRA was fully recorded within the CRA account. Pursuant to the project restructuring of the Main Hotel Casino, the CRA account was released on October 13, 2025. As a result, the CRA account has been released to the Company.

As of September 30, 2025 and 2024, the Parent Company holds short-term placements which were made for varying periods from 5 to 92 days and earned effective interest of 1.5% to 5.00% in 2025 and 2.25% to 5.00% in 2024. Interest earned from cash in banks and short-term placements are netted against borrowing costs which were capitalized as part of Construction in progress (CIP) (see Notes 7 and 12.2).

Total realized foreign exchange gain and loss related to cash and cash equivalents for the periods ended September 30, 2025 and 2024 are presented as part of Foreign Exchange Gain - net and Foreign Exchange Loss - net in the interim condensed consolidated statements of income, respectively (see Note 12.2).

6. PREPAYMENTS AND OTHER ASSETS

The composition of this account is as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Current:		
Input value-added tax	P 2,497,862,627	P 2,216,013,251
Prepaid insurance and other costs	1,315,271,205	211,095,307
Refundable deposits	9,219,187	537,189,131
	<u>P 3,822,353,019</u>	<u>P 2,964,297,689</u>
Non-current:		
Deposits for property and equipment	P -	P 1,691,510,576
Prepaid insurance and other costs	11,436,031	11,508,831
	<u>P 11,436,031</u>	<u>P 1,703,019,407</u>

Deposits for property and equipment pertain to advance payments to contractors and suppliers made by the Parent Company, which are subsequently amortized as the performance obligation is performed.

Pursuant to the project restructuring of the Main Hotel Casino, refundable deposits, deposits for property and equipment, and prepaid insurance were assigned to its related party on August 11, 2025.

7. PROPERTY AND EQUIPMENT

The gross carrying amounts and accumulated depreciation of property and equipment as at September 30, 2025 (Unaudited) and December 31, 2024 (Audited) are shown below.

	Office and Communications Equipment	Transportation Equipment	Furniture and Fixtures	Leasehold Improvement	Construction in Progress	Total
September 30, 2025						
Cost	P 557,594,022	P 5,766,071	P 13,648,845	P 10,515,787	P 38,011,311,988	P 38,598,836,713
Accumulated depreciation and amortization	(18,857,371)	(1,324,313)	(3,552,770)	(4,325,368)	-	(29,924,873)
Assigned assets	(534,551,684)	-	(9,845,346)	(4,325,368)	(38,011,311,988)	(38,560,034,386)
Net carrying amount	P 4,184,967	P 4,441,758	P 250,729	P -	P -	P 8,877,454
December 31, 2024						
Cost	P 322,716,066	P 5,766,071	P 10,179,488	P 7,796,547	P 35,345,504,383	P 35,691,962,555
Accumulated depreciation and amortization	(8,914,557)	(459,404)	(408,095)	(4,462,987)	-	(14,245,043)
Net carrying amount	P 313,801,509	P 5,306,667	P 9,771,393	P 3,333,560	P 35,345,504,383	P 35,677,717,512
January 1, 2024						
Cost	P 13,118,765	P -	P 189,473	P 9,318,559	P 23,694,951,540	P 23,717,578,337
Accumulated depreciation and amortization	(2,409,365)	-	(29,460)	(2,517,165)	-	(4,955,990)
Net carrying amount	P 10,709,400	P -	P 160,013	P 6,801,394	P 23,694,951,540	P 23,712,622,347

Property and equipment mainly consist of construction in progress (CIP), related to the accumulated costs incurred on properties under development in the Entertainment City, Manila in accordance with the Co-Development Agreement (CDA) with a related party under common ownership. Pursuant to the project restructuring of the Main Hotel Casino, certain property and equipment were assigned to a related party on August 30, 2025, and the CDA was terminated on August 30, 2025.

Total interest capitalized as CIP for the period ended September 30, 2025 and for the year ended December 31, 2024 amounted to P2,843.9 million (net of P25.2 million interest income) and P3,756.6 million (net of P244.9 million interest income), respectively (see Notes 5, 8, 10, 11, 12.2, and 14.2). Capitalization rates used in determining the amount of interest charges for capitalization of specific borrowings ranges from 6% to 14% for the period ended September 30, 2025 and for the year ended December 31, 2024.

8. LEASES

On February 21, 2020, and in relation to the CDA, the Parent Company entered into a lease agreement with a related party under common ownership, over portions of three parcels of land. The lease agreement provides for an original term of until August 19, 2039 (19 years) and is renewable automatically for another 25 years under the same terms and conditions. The parties have the option of further renewing for at most another 25 years, subject to applicable laws and upon agreement by both parties.

The related annual rental is set at US\$10.6 million which is payable starting from the latter of the first day of commencement of the operation of the Main Hotel Casino and the fulfilment of the conditions precedent or such other dates as may be mutually agreed upon by both parties.

In 2025 and 2024, management remeasured its lease liabilities and made a corresponding adjustment to its ROUA amounting to P484.9 million and P170.0 million, respectively, to reflect the change in the timing of the estimated date of operations of the Main Hotel Casino, consistent with the original provisions of the lease agreement. Pursuant to the project restructuring of the Main Hotel Casino, the lease agreement was terminated on August 30, 2025.

8.1 *Right-of-use Asset*

The carrying amount of the Group's ROUA as at September 30, 2025 (Unaudited) and December 31, 2024 (Audited) and the movements for the period ended September 30, 2025 (Unaudited) and for the year ended December 31, 2024 (Audited) are shown below.

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cost:		
Balance at beginning of the period/year	P 13,401,781,869	P 13,496,663,177
Remeasurement	(484,884,540)	(170,014,136)
Termination	(71,947,956)	(7,567,275)
Additions	-	82,700,103
Assignment	(12,834,197,226)	-
Balance at end of the period/year	<u>10,752,147</u>	<u>13,401,781,869</u>
Accumulated amortization:		
Balance at beginning of the period/year	2,956,257,571	2,227,980,966
Amortization	487,887,065	732,627,592
Termination	(35,595,865)	(4,350,987)
Assignment	(3,400,484,661)	-
Balance at end of the period/year	<u>8,064,110</u>	<u>2,956,257,571</u>
	<u>P 2,688,037</u>	<u>P 10,445,524,298</u>

The Group capitalized the amortization of ROUA that is directly attributable to the completion of the Main Hotel Casino amounting to P460.3 million and P714.6 million for the period ended September 30, 2025 and for the year ended December 31, 2024, respectively, as part of CIP under Property and Equipment account in the interim condensed consolidated statements of financial position and consolidated statements of financial position (see Note 7).

8.2 *Lease Liabilities*

Lease liabilities are presented in the interim condensed consolidated statements of financial position as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Current	P 1,434,006	P 67,501,181
Non-current	<u>-</u>	<u>6,577,561,779</u>
	<u>P 1,434,006</u>	<u>P 6,645,062,960</u>

The carrying amounts of the Group's lease liabilities as at September 30, 2025 (Unaudited) and December 31, 2024 (Audited) are presented below.

	Note	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Balance at beginning of the period/year		P 6,645,062,960	P 6,228,925,411
Remeasurement		(484,884,540)	(170,014,136)
Exchange difference		(1,653,309)	270,027,968
Interest expense	12.2	171,371,900	264,575,324
Payment		(21,553,964)	(27,575,241)
Addition		-	82,700,103
Termination		(71,947,956)	(3,576,469)
Assignment		(6,234,961,085)	-
Balance at the end of the period/year		P 1,434,006	P 6,645,062,960

The undiscounted maturity analysis of lease liability at September 30 and December 31 are as follows:

	Within 1 year	1 to 2 years	2 to 3 years	3 to 4 years	4 to 5 years	5 to 10 years	10 to 19 years	Total
September 30, 2025 (Unaudited)								
Lease payments	P 1,443,510	P -	P -	P -	P -	P -	P -	P 1,443,510
Finance charges	(9,504)	-	-	-	-	-	-	(9,504)
	P 1,434,006	P -	P -	P -	P -	P -	P -	P 1,434,006
December 31, 2024 (Audited)								
Lease payments	P 339,226,361	P 641,737,713	P 621,777,041	P 614,948,400	P 614,948,400	P 3,074,742,000	P 3,074,742,000	P 8,982,121,915
Finance charges	(271,725,180)	(260,741,953)	(244,768,090)	(229,589,301)	(213,836,843)	(809,416,017)	(306,981,571)	(2,337,058,955)
Net present value	P 67,501,181	P 380,995,760	P 377,008,951	P 385,359,099	P 401,111,557	P 2,265,325,983	P 2,767,760,429	P 6,645,062,960

9. TRADE AND OTHER PAYABLES

The details of this account are as follows:

	Note	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Current:			
Operating costs payable		P 272,595,605	P -
Construction costs payable		189,383,921	1,266,075,828
Government payables		36,602,218	307,242,695
Accrued expenses		37,745,564	16,966,563
Accrued interest payable	10	-	147,581,117
Others		27,481,959	61,630,920
		563,809,267	1,799,497,123
Non-current –			
Retention payable		-	1,472,127,097
		P 563,809,267	P 3,271,624,220

Pursuant to the project restructuring of the Main Hotel Casino, construction costs payable and retention payable were assigned to a related party on August 30, 2025.

Accrued expenses pertain to accrual for professional fees and employee benefits.

Retention payables are typically a percentage of the total contract value which are withheld from the contractors until the completion of a contract or specified defect liability period. These amounts are held as security to ensure satisfactory completion of projects and to address any potential defects or deficiencies. These retention amounts are released upon satisfactory completion of the contract subject to the verification of project deliverables and warranties.

10. BANK BORROWINGS

On June 8, 2023, the Parent Company entered into a 8-year non-syndicated Omnibus Loan and Security Agreement and subsequently amended on July 26, 2023, consisting of a Loan Facility Agreement, a Mortgage Agreement, a Security Agreement, a Suretyship Agreement, and a Project Accounts Agreement, with China Banking Corporation (China Bank), Fortune Noble and Summit Ascent Investments Limited (SA Investments) among others (the Omnibus Loan and Security Agreement). Under the Omnibus Loan and Security Agreement, an interest-bearing secured senior loan facility of up to P25.0 billion was made available to the Parent Company (the Loan Facility), subject to the satisfaction of certain conditions, the proceeds of which shall be used to partially finance the costs for the design, development, and construction of the Main Hotel Casino.

As of December 31, 2024, the Company had drawn P11.0 billion from the Loan Facility after completion of certain project milestones required by the Omnibus Loan and Security Agreement.

The Loan Facility is subject to interest based on a 5-year Bloomberg Evaluated Pricing Service (BVAL) reference rate plus an agreed interest premium factor subject to repricing after 5 years. The Company is required to maintain certain financial ratios including maintenance debt-to-equity ratio and maintenance debt service coverage ratio starting 2026 and project debt-to-equity ratio after the initial loan drawdown. As of September 30, 2025 and December 31, 2024, the Company is compliant with the project debt-to-equity ratio. All assets of the Company as of September 30, 2025 and December 31, 2024 and material contracts entered into by the Company in relation to the construction of the Main Hotel Casino are being held as security.

The outstanding loans as of September 30, 2025 and December 31, 2024, net of related discounts, were presented as Bank Borrowings in the interim condensed consolidated statement of financial position and consolidated statements of financial position, respectively. On September 1, 2025, the total amount of loan including its interest were full repaid. The outstanding loan and interest under the Omnibus Loan and Security Agreement were paid as part of the strategic working agreement with Travellers International Hotel Group, Inc. (TIHGI), Westside City, Inc. (WCI), Westside Bayshore Holding Corporation (WBHC), and Entertainment City Resorts Corporation (ECRC) to expedite the completion of the Westside City Integrated Resort Project.

The total accrued interest as of September 30, 2025 and December 31, 2024 (see Note 9) amounts to P147.6 million. Total interest capitalized for the period ended September 30, 2025 and for the year ended December 31, 2024 (see Note 12.2) amounted to P950.5 million and P601.7 million, respectively.

11. CONVERTIBLE BONDS PAYABLE

On May 29, 2020, the Parent Company entered into a subscription agreement with Fortune Noble for the issuance of a zero-coupon Convertible Bonds (CB) at a total subscription price of P7,300.0 million. The CB was issued on December 30, 2020 and is convertible into 6,636,363,636 shares at the conversion price of P1.10 per share, subject to antidilutive adjustments.

On June 1, 2020, the Parent Company also entered into a subscription agreement with SA Investments, a wholly-owned subsidiary of Summit Ascent Holdings Limited and a fellow subsidiary of the Parent Company, for the issuance of 6.0% CB at a total subscription price of P5,600.0 million. The CB was issued on December 30, 2020 and is convertible into 3,111,111,111 shares at the conversion price of P1.80 per share, subject to antidilutive adjustments.

At the time of the issuance of the bonds, both CBs are payable up to 2025, which may subject to agreement by Fortune Noble and SA Investments, upon request of the Parent Company, be extended up to 2030.

On September 20, 2021, the Parent Company entered into another subscription agreement with SA Investments for the issuance of 6.0% CB at a total subscription price of P6,400.0 million. The CB were issued on June 10, 2022 and is convertible into 3,878,787,878 shares at the conversion price of P1.65 per share, subject to antidilutive adjustments. The CB is payable up to 2025, which maybe subject to agreement by SA Investments, upon request of the Parent Company, be extended up to 2028.

On July 26, 2023, the Parent Company and SA Investments entered into the Conditional Supplements to the Deed Polls dated December 30, 2020 and June 10, 2022 (the “2023 Subscription Agreement”). On September 13, 2023, the 2023 Subscription Agreement were approved by the independent shareholders of Summit Ascent Holdings Limited (SA Holdings) and amended the SA Investments - P5.6B CB and SA Investments - P6.4B CB (the “SA Investments Convertible Bonds”).

Below are the material changes to the SA Investments Convertible Bonds:

- i. The conversion right in favor of SA Investments shall not be exercised for as long as the loans under the Loan Facility remain outstanding, except when the written consent of China Banking Corporation is secured or at least seventy-five percent (75%) of the outstanding loans under the Loan Facility have been repaid; and
- ii. Subordination of the payment of the loans under the SA Investments Convertible Bonds to the payment of the loans under the Omnibus Loan and Security Agreement.

On July 26, 2023, the Parent Company and SA Investments entered into the 2023 Subscription Agreement pursuant to which the Company agreed to issue and SA Investments conditionally agreed to subscribe for the SA Investments Convertible Bonds in the aggregate subscription price equivalent to P13,511,100,000 (the CB Subscription Price). The CB Subscription Price of the SA Investments Convertible Bonds pertains to the aggregate of the outstanding amounts, inclusive of principal and accrued interest, of the SA Investments Convertible Bonds.

On April 30, 2025, the Parent Company and SA Investments entered into a second supplemental agreement to the 2023 Subscription Agreement further extending the deadline for the issuance of the P13.5 billion convertible bond from April 30, 2025 to August 31, 2025. Other terms and conditions of the 2023 Subscription Agreement remain unchanged.

On April 16, 2025, the Parent Company entered into another subscription agreement with SA Investments for the issuance of zero-coupon CB at a total subscription price of P8,632.5 million. The CB is convertible into 8,632,500,000 shares at the conversion price of P1.00 per share, subject to antidilutive adjustments. The CB is payable up to 2033, which maybe subject to agreement by SA Investments, upon request of the Parent Company, be extended up to 2035.

The carrying amount of the financial liability components is P19.0 million and P17.9 million in 2025 and 2024, respectively.

The financial liability components is carried at amortized cost using the effective interest method. The effective interest rates of the Fortune Noble P7.3B CB, SA Investments P5.6B CB, SA Investments P6.4B CB are 10.6%, 14.2%, and 13.1%, respectively.

On September 30, 2025 and December 31, 2024, the Group capitalized the interest expense as part of CIP under Property and Equipment account in the interim condensed consolidated statements of financial position (see Notes 7 and 12.2) and consolidated statements of financial position. Outstanding interest payables amounting to P2,505.7 million and P1,989.3 million as of September 30, 2025 and December 31, 2024 are recorded as part of Due to Related Parties accounts in the interim condensed consolidated statements of financial position and consolidated statements of financial position, respectively (see Note 14).

Conversion options, which represents the residual amount after deducting the financial liability component from the fair value of the instruments amounted to P5,752.0 million as of September 30, 2025 and December 31, 2024, respectively, is presented as Convertible Bonds Equity Reserve under the Equity section of the interim condensed consolidated statements of financial position and consolidated statements of financial position.

The fair values of the CB as of December 31, 2024 were determined by a firm of independent professional valuers using the option price allocation method.

The inputs used for the calculations of fair values of CB were as follows:

	Fortune Noble - P7.3B CB	SA Investments - P5.6B CB	SA Investments - P6.4B CB
Enterprise value (in millions)	P 25,825.00	P 25,825.00	P 25,825.00
Conversion price	1.10	1.80	1.65
Expected option life	6 years	1 year	1 year
Risk-free rate	6.04%	5.98%	5.98%

12. COSTS AND EXPENSES

12.1 Operating Expenses

The details of operating expenses for the periods ended September 30 are shown below.

	Notes	2025 (Unaudited)	2024 (Unaudited)
Salaries and employee benefits	P	387,777,254	P 349,473,654
Depreciation and amortization	7, 8	76,684,466	21,350,673
Rentals		39,720,940	34,070,189
Professional fees		31,895,951	31,281,541
Outsourced services		15,910,249	5,453,300
Utilities and supplies		11,944,699	5,167,914
Taxes, licenses, and other fees		7,984,314	14,504,531
Transportation and travel		6,510,806	14,169,895
Others		31,124,906	17,782,471
	P	<u>609,553,585</u>	P <u>493,254,168</u>

Salaries and employee benefits directly related to the construction of the Main Hotel Casino amounting to P104.6 million and P96.3 million were capitalized as at September 30, 2025 and December 31, 2024 as part of CIP under Property and Equipment account in the interim condensed consolidated statements of financial position and consolidated statements of financial position, respectively. (see Note 7).

Others include association dues, freight and handling charges, insurance, and other miscellaneous expenses.

12.2 Finance Costs and Foreign Exchange (Gain) Loss – Net

The details of finance costs and foreign exchange (gain) loss – net for the periods ended September 30 are shown below and on the succeeding page.

	Notes	2025 (Unaudited)	2024 (Unaudited)
Interest on:			
Convertible bonds	11	P 1,120,662,816	P 1,075,132,380
Bank borrowings	10	950,528,230	601,718,894
Coupon CBs	11	422,666,667	540,000,000
Lease liabilities	8.2	171,371,900	197,747,937
Loan from related parties	14	206,504,567	148,657,867
		<u>2,871,734,180</u>	<u>2,563,257,078</u>
Less: Capitalized interest	7	(2,869,084,489)	(2,560,936,988)
		<u>P 2,649,691</u>	P <u>2,320,090</u>

	Notes	2025 (Unaudited)	2024 (Unaudited)
Foreign exchange (gain) loss - net:			
Unrealized foreign			
exchange (gain) loss - net	8.4	(P 30,347,640)	P 10,682,773
Realized foreign exchange gain	5	(4,360,070)	(85,596,236)
Realized foreign exchange loss	5	19,757,101	23,564,810
		<u>(P 14,950,609)</u>	<u>P 49,548,653</u>

13. TAXES

Final tax expense is incurred from interest income earned on cash in banks and short-term placements (see Note 5). The Parent Company and WC Hotel did not report MCIT or RCIT as at September 30, 2025, and 2024 as they are in a gross loss position during the taxable periods.

14. RELATED PARTY TRANSACTIONS

The Group's transactions with related parties, which include stockholders, and related parties by common ownership, and the Group's key management are described below and on the succeeding page.

Related Party Category	Notes	Amount of Transactions		Outstanding Payables	
		September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Stockholders:					
Interest on convertible bonds	12.2	P 541,071,695	P 486,878,728	P -	P -
Issuance of convertible bonds	11	-	-	(7,109,914,146)	(6,568,842,451)
Shareholder’s interest		-	-	(93,706,314)	(93,706,314)
Related Parties:					
Ultimate Parent					
Loan	14.2	(343,368,000)	-	-	(346,293,676)
Interest on loan	12.2	-	14,501,259	-	(30,312,316)
Payment of interest		(42,489,948)	-	-	-
Intermediate Parent:					
Loan	14.2	-	3,180,363,320	(2,885,494,268)	(3,456,346,980)
Interest on loan	12.2	95,118,912	82,002,481	(79,602,614)	(134,072,252)
Payments		(726,509,323)	-	-	-
Under Common Ownership:					
Issuance of convertible bonds	11	-	-	(11,878,488,294)	(11,298,897,171)
Interest on convertible bonds	12.2	579,591,123	1,128,253,652	(2,412,000,000)	(1,989,333,333)
Loan	14.2	-	-	-	(1,152,601,323)
Interest on loan	12.2	51,826,080	52,154,127	(141,972,324)	(89,834,283)
Lease		-	1,907,291		
Key Management Personnel -					
Compensation		20,982,230	45,859,420	-	-

Under the Omnibus Loan and Security Agreement, the Company's related parties, Fortune Noble, the intermediate parent of the Parent Company; and SA Investments, an entity under common ownership, act as Security Guarantors (see Note 10). For the period ended September 30, 2025, and for the year ended December 31, 2024, the Parent Company has no transactions, outstanding balances, or commitments with these related parties in relation to such guarantee.

15. LOSS PER SHARE

The basic and diluted loss per share as of September 30, 2025 and 2024 are P3.784 and P0.066, respectively.

On December 30, 2020, the Parent Company issued convertible bonds to Fortune Noble and SA Investments, which are convertible to 6,636,363,636 and 3,111,111,111 shares, respectively. On June 10, 2022, the Parent Company issued additional convertible bonds to SA Investments, which are convertible to 3,878,787,878 shares (see Note 11). There is no conversion as of September 30, 2025.

The computation of diluted loss per share did not assume the conversion of the outstanding convertible bonds of the Parent Company since the conversion of the outstanding convertible bonds would result in decrease in diluted loss per share.

16. EQUITY

On September 23, 2014 and November 18, 2014, the Parent Company's BOD and stockholders, respectively, approved an increase in the authorized capital stock of the Parent Company from 3,000,000,000 common shares with par value of P1.00 per share to 23,000,000,000 common shares with par value of P1.00 per share. This was subsequently ratified by the Parent Company's BOD and stockholders on October 25, 2019 and October 29, 2019, respectively, and was approved by the SEC on December 20, 2019. Subsequent to the approval, the amount of P1.25 billion received in October 2019 was applied as partial payment for the subscription of 5,000,000,000 shares. In 2020, the Parent Company received P2.55 billion from Fortune Noble as payment for the latter's subscription over the capital stock of the Parent Company.

On June 9, 2006, the PSE approved the listing of the Parent Company's shares totaling 2,000,000,000. The shares were initially issued at an offer price of P1.00 per share. On February 23, 2023, the Parent Company listed additional 2,550,000,000 shares at P1.00 per share through a private placement in the PSE.

On April 26, 2023, the Parent Company received full payment of its subscription receivables from its shareholders amounting to P1,387.5 million.

The Parent Company's authorized capital stock as of September 30, 2025 and December 31, 2024 consists of 23,000,000,000 common shares with a par value of P1.00 per share, amounting to P23.0 billion.

As of September 30, 2025 and December 31, 2024, there are 1,575 and 1,582 holders of the listed shares, which closed at P0.67 and P0.90 per share, respectively.

17. FAIR VALUE MEASUREMENT AND DISCLOSURES

17.1 *Fair Value Hierarchy*

In accordance with PFRS 13, *Fair Value Measurement*, the fair value of financial assets and liabilities and non-financial assets which are measured at fair value on a recurring or non-recurring basis and those assets and liabilities not measured at fair value but for which fair value is disclosed in accordance with other relevant PFRS, are categorized into three levels based on the significance of inputs used to measure the fair value.

The fair value hierarchy has the following levels:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date;
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and,
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The level within which the asset or liability is classified is determined based on the lowest level of significant input to the fair value measurement.

For purposes of determining the market value at Level 1, a market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

17.2 *Financial Instruments Measurement at Amortized Cost for which Fair Value is Disclosed*

Except for cash and cash equivalents which are under Level 1, all of the Group's financial assets and financial liabilities are classified under Level 3. For financial assets with fair values included in Level 1, management considers that the carrying amounts of those short-term financial instruments approximate their fair values.

The fair values of the financial assets and financial liabilities included in Level 3 above, which are not traded in an active market, is determined based on the expected cash flows of the underlying net asset or liability base of the instrument where the significant inputs required to determine the fair value of such instruments are not based on observable market data. There were no transfers into or out of Level 3 fair value hierarchy for the period ended September 30, 2025 and for the year ended December 31, 2024.

17.3 *Financial Instruments at Initial Recognition - Convertible Bonds*

In relation to its convertible bonds, the fair value is determined closely with qualified external valuers to establish the appropriate valuation techniques and inputs to the model. The fair value of convertible bonds at initial recognition is determined based on option pricing method whereby the enterprise value, conversion price, expected option life, risk-free rate, and volatility were considered as principal inputs (see Note 11).

EXHIBIT 7

MANAGEMENT DISCUSSION AND ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITION

RESULT OF OPERATIONS

Review of September 30, 2025, versus September 30, 2024

Below are the major changes on the Group's results of operation:

	Unaudited September 30, 2025	Unaudited September 30, 2024	2025 vs 2024	
			Increase (Decrease)	Inc. (Dec) %
REVENUES AND INCOME				
Foreign exchange gain - net	P 14,950,609	P 49,548,653	(P 34,598,044)	(69.83%)
Finance and other income	8,839	9,503	(664)	(6.99%)
	<u>14,959,448</u>	<u>49,558,156</u>	<u>(34,598,708)</u>	<u>(69.81%)</u>
COSTS AND EXPENSES				
Operating expenses	609,553,585	493,254,168	116,299,417	23.58%
Tax expense	5,846,949	31,542,016	(25,695,067)	(81.46%)
Finance costs	2,649,691	2,320,090	329,601	14.21%
Loss on assignment	<u>26,826,929,568</u>	<u>-</u>	<u>26,826,929,568</u>	<u>100.00%</u>
	<u>27,444,979,793</u>	<u>527,116,274</u>	<u>26,917,863,519</u>	<u>5106.63%</u>
NET LOSS	(P 27,430,020,345)	(P 477,558,118)	(P 26,952,462,227)	5643.81%

Foreign exchange gain - net exhibited a decrease of Php34.60 million or 69.83% from Foreign exchange gain - net amounting to Php49.55 in 2024 to Php14.95 million in 2025 of the same period.

Operating expenses exhibited an increase of Php116.30 million or 23.58% from Php493.25 million in 2024 to Php609.55 million in 2025 of the same period.

Tax expense exhibited a decrease of Php25.70 million or 81.46% from Php31.54 million in 2024 to Php5.85 million in 2025 of the same period.

Finance cost exhibited an increase of Php0.33 million or 14.21% from Php2.32 million in 2024 to Php2.65 million in 2025 of the same period.

Loss on assignment and termination exhibited an increase of Php26.826 million or 100% from nil in 2024 to Php26.826 in 2025 of the same period.

The Group's net loss increased by Php26.96 million or 5643.81% from Php477.56 million in 2024 to Php27.43 billion in 2025 of the same period.

On August 30, 2025, the Parent Company entered into agreements to pursue a strategic working agreement with TIHGI, WCI, WBHC, and ECRC to expedite the completion of the now-expanded Westside City Integrated Resort Project, located in Entertainment City, Paranaque City in Metro Manila, Philippines.

To ensure the timely construction, development, completion and operation of the Westside Integrated Resort Project, all of the Parent's Company's rights and obligations related to the project have been assigned to ECRC.

FINANCIAL CONDITION

As of September 30, 2025, and September 30, 2024

	Unaudited September 30, 2025	Audited December 31, 2024	Increase (Decrease)	Horizontal	Vertical
ASSETS					
CURRENT ASSETS					
Cash and cash equivalents	P 1,382,498,920	P 3,420,876,839	(P 2,038,377,919)	(59.59%)	16.40%
Prepayments and other current assets	3,822,353,019	2,964,297,689	858,055,330	28.95%	45.35%
Total Current Assets	5,204,851,939	6,385,174,528	(1,180,322,589)	(18.49%)	61.76%
NON-CURRENT ASSETS					
Investment in associate	3,200,000,000	-	3,200,000,000	100.00%	37.97%
Prepayments and deposits for property and equipment	11,436,031	1,703,019,407	(1,691,583,376)	(99.33%)	.14%
Property and equipment - net	8,877,454	35,677,717,512	(35,668,840,058)	(99.98%)	.11%
Right-of-use assets - net	2,688,037	10,445,524,298	(10,442,836,261)	(99.97%)	.03%
Total Non-current Assets	3,223,001,522	47,826,261,217	(44,603,259,695)	(93.26%)	38.24%
TOTAL ASSETS	P 8,427,853,461	P 54,211,435,745	(P 45,783,582,284)	(84.45%)	100.00%
LIABILITIES AND EQUITY					
CURRENT LIABILITIES					
Trade and other payables	P 563,809,267	P 1,799,497,123	(P 1,235,687,856)	(68.67%)	6.69%
Lease liabilities	1,434,006	67,501,181	(66,067,175)	(97.88%)	0.02%
Total Current Liabilities	565,243,273	1,866,998,304	(1,301,755,031)	(69.72%)	6.71%
NON-CURRENT LIABILITIES					
Convertible bonds payable	18,988,402,439	17,867,739,622	1,120,662,817	6.27%	225.31%
Loans from related parties	5,067,668,251	4,955,241,979	112,426,272	2.27%	60.13%
Due to related parties	2,727,281,252	2,337,258,498	390,022,754	16.69%	32.36%
Bank borrowings	-	10,576,547,188	(10,576,547,188)	(100.00%)	.00%
Lease liabilities	-	6,577,561,779	(6,577,561,779)	(100.00%)	.00%
Retention payable	-	1,472,127,097	(1,472,127,097)	(100.00%)	.00%
Total Non-current Liabilities	26,783,351,942	43,786,476,163	(17,003,124,221)	(38.83%)	317.80%
Total Liabilities	27,348,595,215	45,653,474,467	(18,304,879,252)	(40.10%)	324.50%
EQUITY					
Capital stock	7,250,000,000	7,250,000,000	-	.00%	86.02%
Convertible bonds equity reserve	5,752,006,144	5,752,006,144	-	.00%	68.25%
Exchange reserve	136,537,823	185,220,510	(48,682,687)	(26.28%)	1.62%
Deficit	(32,059,285,721)	(4,629,265,376)	(27,430,020,345)	592.54%	(380.40%)
Total Equity	(18,920,741,754)	8,557,961,278	(27,478,703,032)	(321.09%)	(224.50%)
TOTAL LIABILITIES AND EQUITY	P 8,427,853,461	P 54,211,435,745	(P 45,783,582,284)	(84.45%)	100.00%

The Group's total resources amounted to Php8,427.85 million in 2025 from Php54,211.44 million in 2024, a decrease of Php45,783.58 million or 84.45%. The Group manages its liquidity needs by carefully monitoring scheduled payments for financial liabilities as well as its cash outflows due in a day-to-day business.

Current assets decreased by Php1,180.32 million or 18.49% from Php6,385.17 million in 2024 to Php5,204.85 million in 2025. Cash and cash equivalents decreased by Php2,038.38 million or 59.59% from Php3,420.88 million in 2024 to Php1,382.50 million in 2025. Prepayments and other current assets increased by Php858.06 million or 28.95% from Php2,964.30 million in 2024 to Php3,822.35 million in 2025.

Non-current assets increased by Php44,603.26 million or 93.26% from Php47,826.26 million in 2024 to Php3,223.00 million in 2025. Investment in associate increased by Php3,200.00 million in 2025. Prepayments and deposits for property and equipment - net decreased by Php1,691.58 million or 99.33% from Php1,703.02 million in 2024 to Php11.44 million in 2025. Property and equipment - net decreased by Php35,668.84 million or 99.98% from Php35,677.72 million in 2024 to Php8.88 million in 2025. Right-of-use assets - net decreased by Php10,442.84 million or 99.97% from Php10,445.52 million in 2024 to Php2.69 million in 2025.

The Group's total liabilities amounted to Php27,348.60 million in 2025 from Php45,653.47 million in 2024 or a decrease by Php18,304.88 million or 40.10%.

Current liabilities decreased by Php1,301.76 million or 69.72% from Php1,867.00 million in 2024 to Php565.24 million in 2025. Trade and other payables exhibited a decrease of Php1,235.69 million or 68.67% from Php1,799.50 million in 2024 to Php563.81 million in 2025. Lease liability - current exhibited a decrease of Php66.07 million or 97.88% from Php67.50 million in 2024 to Php1.43 million in 2025.

Convertible bonds payable increased by Php1,120.66 million or 6.27% from Php17,867.74 million in 2024 to Php18,988.40 million in 2025. Lease liabilities exhibited a decrease of Php6,577.56 million or 100.00% from Php6,577.56 million in 2024 to nil in 2025. Loans from related parties exhibited an increase of Php112.43 million or 2.27% from Php4,955.24 million in 2024 to Php5,067.67 million in 2025. Bank borrowings exhibited a decrease of Php10,576.55 million or 100.00% from Php10,576.55 million in 2024 to nil million in 2025. Due to related parties exhibited an increase of Php390.02 million or 16.69% from Php2,337.26 million in 2024 to Php2,727.28 million in 2025. Retention payable exhibited a decrease of Php1,472.13 million or 100.00% from Php1,472.13 million in 2024 to nil in 2025.

Equity decreased by Php27,478.70 million or 321.09% from Php8,557.96 million in 2024 to (Php18,920.74) million in 2025.

**Material Changes in the Items of the Financial Statements:
*Increase/Decrease of 5% or more versus December 31, 2024***

Statements of Financial Position

59.59% decrease in Cash and cash equivalents

Due to cash used in payments of administrative expenses and construction costs of the Main Hotel Casino.

28.95% increase in Prepayments and other current assets

Due to the recognition of receivable from assignment.

100.00% increase in Investment in associate

Due to new investment to WBHC.

99.33% increase in Prepayments and deposits for property and equipment

Mainly due to assignment of advances to contractor in relation to the construction of the Main Hotel Casino.

99.98% decrease in Property and equipment

Due to the assignment of assets related to the construction of the Main Hotel Casino.

99.97% decrease in Right-of-use assets - net

Mainly due to the termination of lease of dormitory.

68.67% decrease in Trade and other payables

Due to payment and assignment of construction costs.

97.88% decrease in Lease liabilities - current

Mainly due to termination of lease.

16.69% increase in Due to related parties

Due to the accrual of interests from loans from related parties and convertible bonds.

100% decrease in Lease liabilities – non-current

Due to termination of lease.

100% decrease in Retention payable

Due to assignment of construction costs.

Increase/Decrease of 5% or More versus September 30, 2024

69.83% decrease in Foreign exchange loss (gain)

Mainly due to translation adjustments to foreign denominated financial liabilities such as loans from related parties, lease liabilities, and due to related parties.

6.99% decrease in Finance and other income

Due to decrease in interest income earned on cash in banks and short-term placements of Subsidiaries.

23.58% increase in Operating expenses

Due mainly to increase in salaries and employee benefits as a result of an increase in employee headcount.

81.46% decrease in Tax expense

Due to decrease in tax expense incurred from interest income earned on cash in banks and short-term placements.

14.21% increase in Finance cost

Due to increase in interest expense incurred from lease liabilities.

Key Performance Indicators

Presented below are the top five (5) key performance indicators of the Group:

	September 30, 2025	December 31, 2024
Current Ratio *1	9.21	3.42
Quick Ratio *2	2.45	1.83
Debt-to-Equity Ratio *3	-1.45	5.33

	September 30, 2025	September 30, 2024
Return on Assets *4	-102.44%	-0.56%
Return on Equity *5	526.78%	-2.74%

*1 – Current Assets/ Current Liabilities

*2 – Quick Assets (Current Assets less Other Current Assets)/ Current Liabilities

*3 – Total Liabilities/ Equity

*4 – Net Profit (Loss)/ Average Total Assets

*5 – Net Profit (Loss)/ Average Equity

There are no other significant changes in the financial position (5% or more) and condition of the Group that will warrant a more detailed discussion. Further, there are no material events and uncertainties known to Management that will impact or change the Group's reported financial information and condition.

There are no known trends or demands, commitments, events, or uncertainties that will result in or that are reasonably likely to result in increasing or decreasing the Group's liquidity in any material way.

There are no other known events that will trigger direct or contingent financial obligation that is currently considered material to the Group, including any default or acceleration of an obligation.

There are no material off-balance sheet transactions, arrangements, obligations, and other relationships with unconsolidated entities or other persons created during the reporting period.

The Group has no unusual nature of transactions or events that affect assets, liabilities, equity, net income, or cash flows.

There are no other material issuances, repurchases, or repayments of debt and equity securities.

There are no seasonal aspects that had a material effect on the financial condition or results of operations of the Group.

There are no material events subsequent to the end of the period that have not been reflected in the interim condensed consolidated financial statements.

There are no changes in estimates of amounts reported in periods of the current financial year or changes in estimates of amounts reported in prior financial years.

SUNTRUST RESORT HOLDINGS, INC. AND SUBSIDIARIES
(Formerly Suntrust Home Developers, Inc. and Subsidiaries)
(A Subsidiary of Fortune Noble Limited)
Aging of Accounts Receivable
September 30, 2025 AND December 31, 2024

Type of Receivable	Total	Unaudited September 30, 2025	1-3 Months	4-6 Months	7 Months to 1 Year	1-2 Years	Past Due Accounts and Items in Litigation
Trade and Other Receivables	-	-	-	-	-	-	-

SUNTRUST RESORT HOLDINGS, INC. AND SUBSIDIARIES

*(Formerly Suntrust Home Developers, Inc. and Subsidiaries)**(A Subsidiary of Fortune Noble Limited)*

ANNEX 68-E - SCHEDULE OF FINANCIAL SOUNDNESS INDICATORS

September 30, 2025 AND December 31, 2024

Ratio	Formula	Unaudited September 30, 2025	Audited December 31, 2024
Current ratio	Current assets / Current liabilities	9.21	3.42
Acid test ratio	Quick assets / Current liabilities (Quick assets include current assets less other current assets)	2.45	1.83
Solvency ratio	Total liabilities / Total assets	0.31	1.19
Debt-to-equity ratio	Total liabilities / Total stockholders' equity	-1.45	5.33
Asset-to-equity ratio	Total assets / Total stockholders' equity	-0.45	6.33
Interest rate coverage ratio	EBIT / Total interest	n/a	n/a
Return on equity	Net income (loss) / Average total equity	526.92%	-12.01%
Return on assets	Net income (loss) / Average total assets	-102.42%	-2.19%
Net profit margin	Net income (loss) / Total revenues	-	-